OFFICEAIM KNOWLEDGE BASE: PRICING STRATEGY ANALYST

1. THE VALUE METRIC

The core of any pricing strategy is the Value Metric (what you charge for). It must be:

- Predictable (customers can estimate costs).
- Controllable (customers influence it with behavior).
- Aligned with outcomes (more usage = more value received).
- Measurable & auditable (low billing friction).

2. SUBSCRIPTION VS. USAGE-BASED (PAY-PER-USE)

- **Use Subscription Tiers when:** Usage is stable, customers want budget certainty, marginal costs are near-zero, and the value is "always-on" access.
- **Use Usage-Based when:** Usage is variable/spiky, value scales linearly with consumption, and marginal costs (compute, API calls, human review) scale with usage.

3. PACKAGING ARCHITECTURE (TIER FENCES)

If using Subscriptions, you must build clean "fences" between tiers.

- **Good Fences:** Feature sets tied to sophistication, admin controls, security, SLAs, or soft usage limits (included units + overage).
- **Bad Fences:** Arbitrary feature removal that feels punitive or limits that block early success (forcing churn instead of an upgrade).

4. THE HYBRID DEFAULT (THE GOLDEN STANDARD)

For most modern B2B SaaS, the best answer is a Hybrid model:

- **Base Subscription:** Covers platform access, support, and predictable revenue.
- **Included Usage:** Sized to typical customer value realization.
- **Overage (Usage-Based):** Scales with cost/value if the customer exceeds the included amount. This protects margins while preventing "bill shock" for average users.

5. REVENUE RISK & BILL SHOCK

Usage-based pricing transfers revenue volatility to both the business and the customer. To prevent "bill shock" (the #1 cause of usage-based churn), you MUST provide upfront calculators, real-time usage dashboards, and spending caps/auto-throttles.